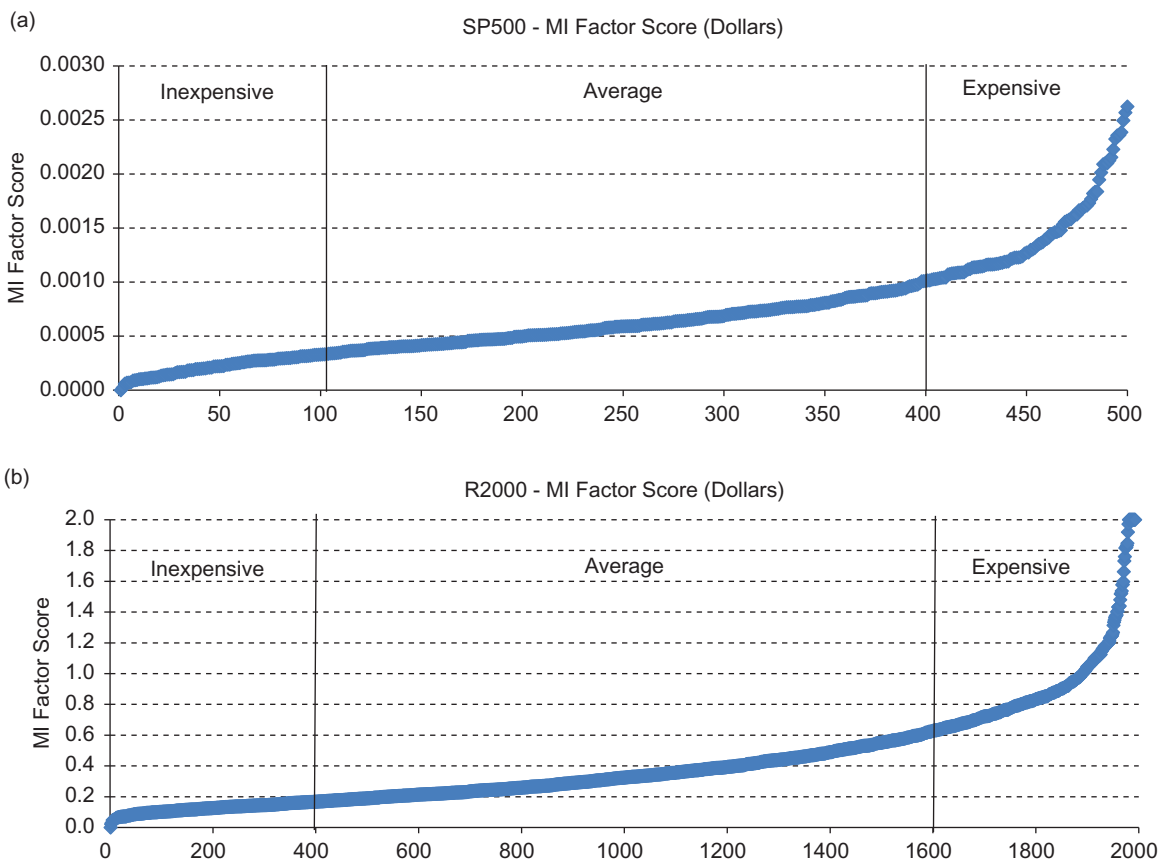




■ Figure 11.8 Market Impact Factor Scores.

Managers should analyze these names to fully understand their trading characteristics and they may be best served by holding few shares of these stocks in the portfolio unless, of course, the incremental alpha will more than offset the incremental trading cost.

Stocks in the R2000 index also have a very similar MI factor score (dollar) shape. This is shown in Figure 11.8b. The average MI factor score for R2000 stocks is $K = 0.42$. Notice that this is much larger than the average score for SP500 ($K = 0.001$). This difference is primarily due to SP500 stocks having higher prices and much higher liquidity. The market is also more sensitive to trading small cap stocks in general. Our market impact analysis found higher values for small cap stocks compared to large cap stocks. Visual inspection finds that there are